2492.TW - Walsin Technology Corp (華新科技) | Deep Dive

Full active edition | Financial methods and portfolio Base overrides preserved.

Evidence review: 2026-10-01 | Operating forecast established 2026-08-16 | Q2 2026 anchor; interim review report dated 2026-07-31
Framework: v8.0 evidence and visual presentation review; established five-line forecast, 11x operating-profit valuation and analytical score retained
Status: NOT HELD | **BENEFICIARY** - passive-component supply squeeze
Base: 32/60 = 53% - Fail band
Multiple: 11× forward-four-quarter IFRS operating profit
Price / shares: TWD 273.50 (2026-08-08 refresh, stale against 294.00 quoted 2026-08-17) | 485.2M diluted
Active Q4 2027 ceiling: TWD 1,304.76, pricing Q4 2027 through Q3 2028. This is the existing Q4 ceiling selected by the quarterly horizon rule.
Model tab: 2492_TW_Q_Model. Upside, EV and rank are Excel-owned live fields and are not restated here.

All figures TWD millions. Fiscal year is the calendar year.

1. Core thesis

Walsin is a broad-line passive component maker, second globally in chip resistors at roughly 19% share and fourth to fifth in MLCC at roughly 10%. It is not required by anyone. Murata, Samsung Electro-Mechanics, Taiyo Yuden, TDK and Yageo all supply the same parts, so the Rule 9 test fails outright and the name is classified and scored as ecosystem beta inside a real supply squeeze.

The mechanism is crowding-out. AI-grade high-voltage MLCC production is displacing general-purpose capacity, and Walsin holds broad general-purpose share into a market whose general-purpose capacity is being vacated. Its **lower** AI-server exposure is the leverage. Channel checks in China found 22μF and 47μF parts out of stock and certain makers refusing orders; Walsin names those same capacitances as high-volume smartphone and PC products.

Supercycle: DB4 AI datacenter power, reaching passives through server power systems and the 800G to 1.6T switching transition.

2. Why this is not 2018

	2018	2026-2028
Marginal buyer	A $600 smartphone where a $2 BOM step hit gross margin directly	A ~$3M rack where capacitor content is order $2,000, **0.067% of the rack**
Price elasticity	Real. Redesign and demand destruction ended the shortage	**Effectively zero at the AI end.** A month of schedule slip costs ~50× the entire capacitor bill
Demand floor	Consumer sentiment plus double-ordering. Both evaporated	Multi-year published hyperscaler capex. Does not unwind in two quarters
Content	A unit-count surge	A **permanent BOM change**: AI servers use 10-15× the MLCC of a conventional server, ~30× a smartphone
Input costs	No equivalent cost push	Silver-led inflation, modelled at +22% cumulative
Walsin's position	10% MLCC share, general-purpose mix, no moat	**Identical.** The demand is bigger; the position is the same

Global MLCC TAM is roughly $17B a year against roughly $500B of annual AI infrastructure capex. That ratio is why the buyer at the AI end does not negotiate.

The counter, and it is why Pool B is the open ruling. The price-insensitive money buys from the Japanese and Koreans. Walsin captures it second-hand, through a general-purpose buyer who has nowhere else to go but who still retains a redesign option the hyperscaler does not. General-purpose capacity is also the cheap kind to add: high-end lines take 18-24 months, the lines Walsin runs do not. Walsin's pool can resolve faster than the high-end squeeze that created it.

3. Latest earnings anchor (AH-15)

Metric	Q2 2026	Q2 2025	Movement
Revenue	11,310	9,554	+18.4%
Gross profit	2,295	1,623	+41.4%
Gross margin	20.29%	16.99%	+330bp
Operating income	1,162	555	**+109%**
Operating margin	10.27%	5.81%	+446bp
Pre-tax margin	20.12%	-	-
Diluted EPS (TWD)	3.24	-	H1 4.93

Operating profit more than doubled on 18.4% revenue growth. That is the operating-leverage signature of a price cycle landing on a fixed cost base, the same signature Yageo printed in Q1 2018 when gross profit rose 3.48× and operating profit 4.90×.

Approximately half of pre-tax profit is non-operating. Q2 pre-tax profit is TWD 2,275.356M versus operating profit of TWD 1,161.717M; net non-operating income is TWD 1,113.639M, or 48.94% of pre-tax profit. Equity-method income is TWD 212.372M, only 19.07% of the non-operating amount. Investment valuation gains, interest and dividend income also contribute materially. The ceiling uses operating profit and excludes all of these non-operating items. [W-E1, PDF page 6 / printed page 5]

WALSIN TECHNOLOGY CORPORATION AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In Thousands of New Taiwan Dollars, Except Earnings (Loss) Per Share)

	For the Three Months Ended June 30				For the Six Months Ended June 30			
	2026		2025		2026		2025	
	Amount	%	Amount	%	Amount	%	Amount	%
NET SALES (Note 26)	$ 11,310,273	100	$ 9,554,487	100	$ 20,848,667	100	$ 18,294,501	100
COST OF SALES (Note 26)	9,014,859	80	7,931,564	83	16,807,291	81	15,171,819	83
GROSS PROFIT	2,295,414	20	1,622,923	17	4,041,376	19	3,122,682	17
OPERATING EXPENSES								
Selling and marketing expenses	513,451	5	436,208	5	959,053	5	858,825	5
General and administrative expenses	371,211	3	393,718	4	717,080	3	753,437	4
Research and development expenses	249,035	2	237,932	3	484,593	2	471,123	2
Total operating expenses	1,133,697	10	1,067,858	12	2,160,726	10	2,083,385	11
PROFIT FROM OPERATIONS	1,161,717	10	555,065	5	1,880,650	9	1,039,297	6
NON-OPERATING INCOME AND EXPENSES								
Interest income	377,142	4	385,085	4	775,588	4	757,224	4
Rental income	13,601	-	12,090	-	24,935	-	26,957	-
Dividend income (Note 26)	234,442	2	233,603	2	247,906	1	245,593	1
Other income	26,943	-	38,338	-	34,542	-	53,293	-
Gain (loss) on disposal of property, plant and equipment	4,907	-	30,150	-	(3,393)	-	27,921	-
Gain on disposal of investments	27,046	-	2,030	-	49,261	-	1,071	-
Gain on financial assets at FVTPL	440,683	4	53,393	1	503,961	2	23,690	-
Other expenses	(4,818)	-	(13,345)	-	(11,723)	-	(18,167)	-
Foreign exchange gain (loss), net	(93,656)	(1)	(1,483,975)	(15)	107,409	1	(1,376,376)	(7)
Interest expense	(125,023)	(1)	(136,611)	(1)	(257,449)	(1)	(273,125)	(1)
Share of profit of associates accounted for using the equity method (Note 13)	212,372	2	97,131	1	360,246	2	222,920	1
Total non-operating income and expenses	1,113,639	10	(782,111)	(8)	1,831,283	9	(308,999)	(2)
PROFIT (LOSS) BEFORE INCOME TAX FROM CONTINUING OPERATIONS	2,275,356	20	(227,046)	(3)	3,711,933	18	730,298	4
INCOME TAX EXPENSE (Notes 4 and 22)	(477,036)	(4)	(22,576)	-	(926,247)	(5)	(204,141)	(1)
NET PROFIT (LOSS) FOR THE PERIOD	1,798,320	16	(249,622)	(3)	2,785,686	13	526,157	3

(Continued)

Walsin H1 2026 English interim report: Q2 and H1 income statement; TWD thousands. Source W-E1 PDF page 6.

Q2 2026 reported item	TWD millions	Treatment
Operating profit	1,161.717	Existing operating earnings anchor
Equity-method profit	212.372	Non-operating; excluded
FVTPL valuation gain	440.683	Non-operating; excluded
Interest income	377.142	Non-operating; excluded
Dividend income	234.442	Non-operating; excluded
Remaining non-operating income and expenses, net	-151.000	Derived residual; includes FX and interest expense
Total non-operating income	1,113.639	Reported; excluded from operating ceiling
Pre-tax profit	2,275.356	Reported; not the valuation earnings basis

Interim review scope and anchor reconciliation

The English H1 report is a translation supplement to the existing reporting period, with a Deloitte review dated July 31, 2026. It is an interim review, not a full audit. The qualified conclusion concerns unreviewed information from certain subsidiaries and associates and Note 32. These scope amounts are not established accounting losses or identified misstatements. Entities separately reviewed by other auditors are described in the distinct Other Matter paragraph and are not part of the unreviewed population merely because Deloitte relied on another firm. The Chinese report controls if the translations differ. [W-E1, PDF pages 2-4 / printed pages 1-3]

Deloitte.

勤業眾信

勤業眾信聯合會計師事務所
110421 台北市信義區松仁路 100 號 20 樓

Deloitte & Touche
20F, Taipei Nan Shan Plaza
No. 100, Songren Rd.,
Xinyi Dist., Taipei 110421, Taiwan

Tel : + 886 (2) 2725 - 9988
Fax: + 886 (2) 4051 - 6888
www.deloitte.com.tw

INDEPENDENT AUDITORS' REVIEW REPORT

The Board of Directors and Shareholders
Walsin Technology Corporation

Introduction

We have reviewed the accompanying consolidated balance sheets of Walsin Technology Corporation and its subsidiaries (collectively, the "Group") as of June 30, 2026 and 2025, the related consolidated statements of comprehensive income for the three months ended June 30, 2026 and 2025 and for the six months ended June 30, 2026 and 2025, the consolidated statements of changes in equity and cash flows for the six months then ended, and the related notes to the consolidated financial statements, including material accounting policy information (collectively referred to as the "consolidated financial statements"). Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34 "Interim Financial Reporting" endorsed and issued into effect by the Financial Supervisory Commission of the Republic of China. Our responsibility is to express a conclusion on the consolidated financial statements based on our reviews.

Scope of Review

Except as explained in the Basis for Qualified Conclusion paragraph, we conducted our reviews in accordance with the Standards on Review Engagements of the Republic of China 2410 "Review of Interim Financial Information Performed by the Independent Auditor of the Entity". A review of consolidated financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Basis for Qualified Conclusion

As described in Note 11 to the consolidated financial statements, the financial statements of some non-significant subsidiaries included in the consolidated financial statements were not reviewed by independent auditors. As of June 30, 2026 and 2025, the total assets amounted to NT$2,608,701 thousand and NT$2,705,519 thousand, representing 2.18% and 2.83%, respectively, of the consolidated total assets, and the total liabilities amounted to NT$643,055 thousand and NT$686,297 thousand, representing 1.56% and 1.60%, respectively, of the consolidated total liabilities. The comprehensive income for the three months ended June 30, 2026 and for the six months ended June 30, 2026 was NT$28,914 thousand and NT$58,444 thousand, representing 0.19% and 0.34%, respectively, of the consolidated comprehensive income (loss); the comprehensive income (loss) for the three months ended June 30, 2025 and for the six months ended June 30, 2025 was NT$(28,066) thousand and NT$(61,329) thousand, representing 0.60% and 1.60%, respectively, of the consolidated comprehensive income (loss). As described in Note 13 to the consolidated financial statements, the financial statements of some associates accounted for using the equity method were not reviewed by independent auditors. As of June 30, 2026 and 2025,

Walsin interim review: basis for qualified conclusion and unreviewed subsidiary scope. Source W-E1 PDF page 2.

Unreviewed subsidiary scope	2026 amount, TWD millions	Disclosed group proportion
Assets at June 30	2,608.701	2.18% of total assets
Liabilities at June 30	643.055	1.56% of total liabilities
Q2 comprehensive income	28.914	0.19% of comprehensive income
H1 comprehensive income	58.444	0.34% of comprehensive income

investments in associates accounted for using the equity method that were not reviewed amounted to NT$699,738 thousand and NT$808,994 thousand, respectively. The total share of income of the associates accounted for using the equity method that were not reviewed for the three months ended June 30, 2026 and for the six months ended June 30, 2026 amounted to NT$9,475 thousand and NT$22,864 thousand, respectively. The total share of income of the associates accounted for using the equity method that were not reviewed by independent auditors for the three months ended June 30, 2025 and for the six months ended June 30, 2025 amounted to NT$(13,893) thousand and NT$(6,446) thousand, respectively. In addition, the information disclosed in Note 32 to the consolidated financial statements were not reviewed by independent auditors.

Qualified Conclusion

Based on our reviews and the review reports of other auditors (refer to other matter paragraph), with the exception of the matter described in the preceding paragraph, nothing has come to our attention that caused us to believe that the accompanying consolidated financial statements do not present fairly, in all material respects, the consolidated financial position of the Group as of June 30, 2026 and 2025, its consolidated financial performance for the three months ended June 30, 2026 and 2025, and its consolidated financial performance and its consolidated cash flows for the six months ended June 30, 2026 and 2025 in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers, and International Accounting Standard 34 “Interim Financial Reporting” endorsed and issued into effect by the Financial Supervisory Commission of the Republic of China.

Other Matter

We did not review the financial statements of some subsidiaries and associates accounted for using the equity method included in the consolidated financial statements of the Group, but such financial statements were reviewed by other auditors. Our conclusion, insofar as it relates to the amounts and information disclosed for such subsidiaries, is based solely on the review reports of other auditors. As of June 30, 2026 and 2025, the amount of total assets (including investments accounted for using the equity method) of these subsidiaries was NT$15,363,925 thousand and NT$13,274,327 thousand, representing 12.82% and 13.85%, respectively, of the consolidated total assets; for the three months ended June 30, 2026 and for the six months ended June 30, 2026 the amount of consolidated net operating revenue of these subsidiaries was NT$1,777,518 thousand and NT$3,339,354 thousand, representing 16.02% and 15.72%, respectively, of the consolidated net operating revenue; for the three months ended June 30, 2025 and for the six months ended June 30, 2025 the amount of consolidated net operating revenue of these subsidiaries was NT$1,796,385 thousand and NT$3,474,266 thousand, representing 18.80% and 18.99%, respectively, of the consolidated net operating revenue. The comprehensive income (including share of loss of associates accounted for using the equity method) for the three months ended June 30, 2026 and for the six months ended June 30, 2026 was NT$994,034 thousand and NT$1,296,023 thousand, representing 6.42% and 7.60%, respectively, of the consolidated comprehensive loss, and the comprehensive income for the three months ended June 30, 2025 and for the six months ended June 30, 2025 was NT$(490,918) thousand and NT$(212,921) thousand, representing (10.56%) and (5.54%), respectively, of the consolidated comprehensive loss.

Walsin interim review: unreviewed associates, Note 32 and qualified conclusion. Source W-E1 PDF page 3.

Additional unreviewed scope	2026 amount, TWD millions	Period or qualification
Equity-accounted investment carrying value	699.738	June 30
Share of associate profit	9.475	Q2
Share of associate profit	22.864	H1
Note 32 information	Not a single monetary amount	Not reviewed

The selected English-report figures reconcile to the existing rounded Q2 anchors. A full Chinese-versus-English line-by-line reconciliation has not been performed.

Anchor	Exact reported figure	Existing artifact figure	Result
Q2 revenue, TWD M	11,310.273	11,310	Matches rounding
Q2 gross profit, TWD M	2,295.414	2,295	Matches rounding
Q2 operating profit, TWD M	1,161.717	1,162	Matches rounding
Q2 diluted EPS, TWD	3.24	3.24	Matches
H1 diluted EPS, TWD	4.93	4.93	Matches

Disclosed since the quarter	Detail
July 2026 revenue	TWD 4,444M, +41.95% YoY, near an eight-year monthly high. Anchors Q3 2026.
Book-to-bill	1.2-1.3 rising to 1.3-1.4, customer inventory low, no overbooking observed.
Utilisation	Resistors 85-90%, MLCC 80-85%.
Capacity	2026 +10-15%, further expansion in 2027. Thin-film and special resistors planned to expand by **multiples**. Liuchia plant enters operation Q3 2026.
Capex	Raised from TWD 0.5-1.0B to **at least 3.0B**.
Pricing	Distribution-channel prices raised effective 2026-06-01. **Direct-customer renegotiation across Q3 and Q4 2026 has not yet happened.**
AI target	Roughly **15-20% of 2026 revenue**.
Chairman, 2026-08-10	Order visibility very good; price increases imperative.
Sector context	Murata, Samsung EM and Taiyo Yuden book-to-bill at 1.30, 1.31 and 1.25 in late June, above the 1.25 that preceded 2018. Top five control 77%+ of output at 90-95% utilisation. New high-end lines take 18-24 months; earliest meaningful volume late 2027.

No formal revenue or margin guidance is issued. There is no guided range for this model to sit inside or above, a materially weaker constraint than any US or Korean name in the book.

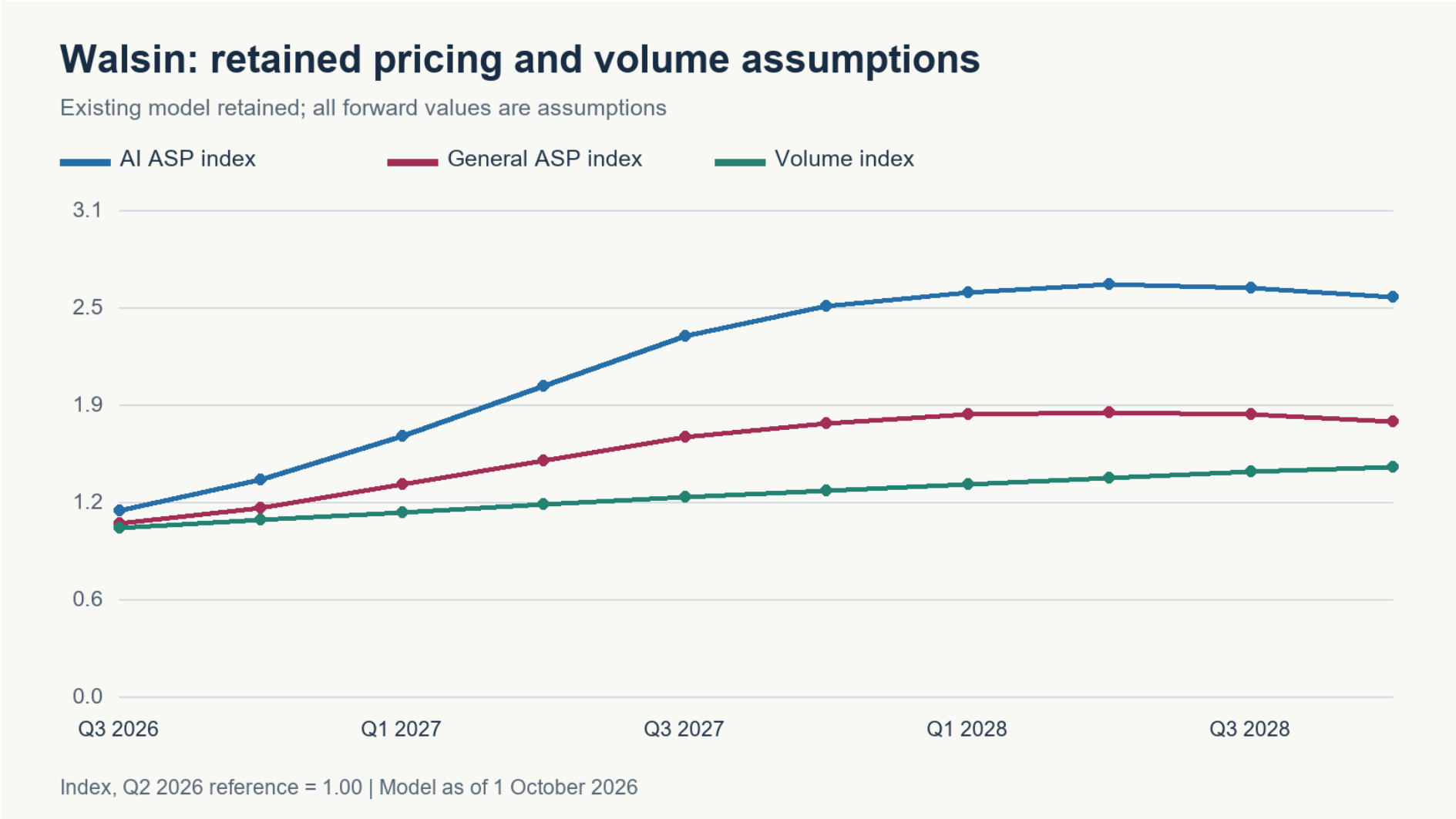
4. Model structure - revenue and margin are both OUTPUTS

An earlier version of this model set revenue and gross margin independently. That is incoherent: a gross margin is an output of ASP and unit cost, and a large ASP move is also a large revenue move. This build derives both.

line revenue = anchor mix × volume index × line ASP
line ASP = AI share × Pool A ASP + (1 - AI share) × Pool B ASP
line GM = 1 - (1 - anchor GM) × input cost index ÷ line ASP

Driver	Basis	AH-7
Volume index	Capacity-capped, not demand-capped. Q2 2026 = 1.00. Q3 2026 at 1.08 for Liuchia plus the 2026 capacity step, reaching 1.66 by Q4 2030 on management's stated 10-15% additions	MEDIUM
Pool A ASP (AI-exposed)	Elasticity ~0, bounded only by alternatives, and Murata, Samsung EM and Taiyo Yuden are sold out at 90-95%. Peaks 2.64×	LOW
Pool B ASP (general-purpose)	Bounded by demand destruction and redesign, which is what ended 2018. Peaks 1.82×	LOW - **the assumption most likely to be too high**
Input cost index	Silver-led, +22% cumulative by 2029 then flat. Raises ASP without raising margin	LOW
AI share by line	MLCC 15→40%, Resistor 25→55%, RF 20→50%, Disc Capacitor 2→5%, Inductor & Others 12→35%. Blends to **17.0% in Q3 2026**, inside management's stated 15-20%, reaching 43.1% by Q4 2030	MEDIUM

Existing driver path



Walsin: retained pricing and volume assumptions. Index, Q2 2026 reference = 1.00. Existing model retained; all forward values are assumptions

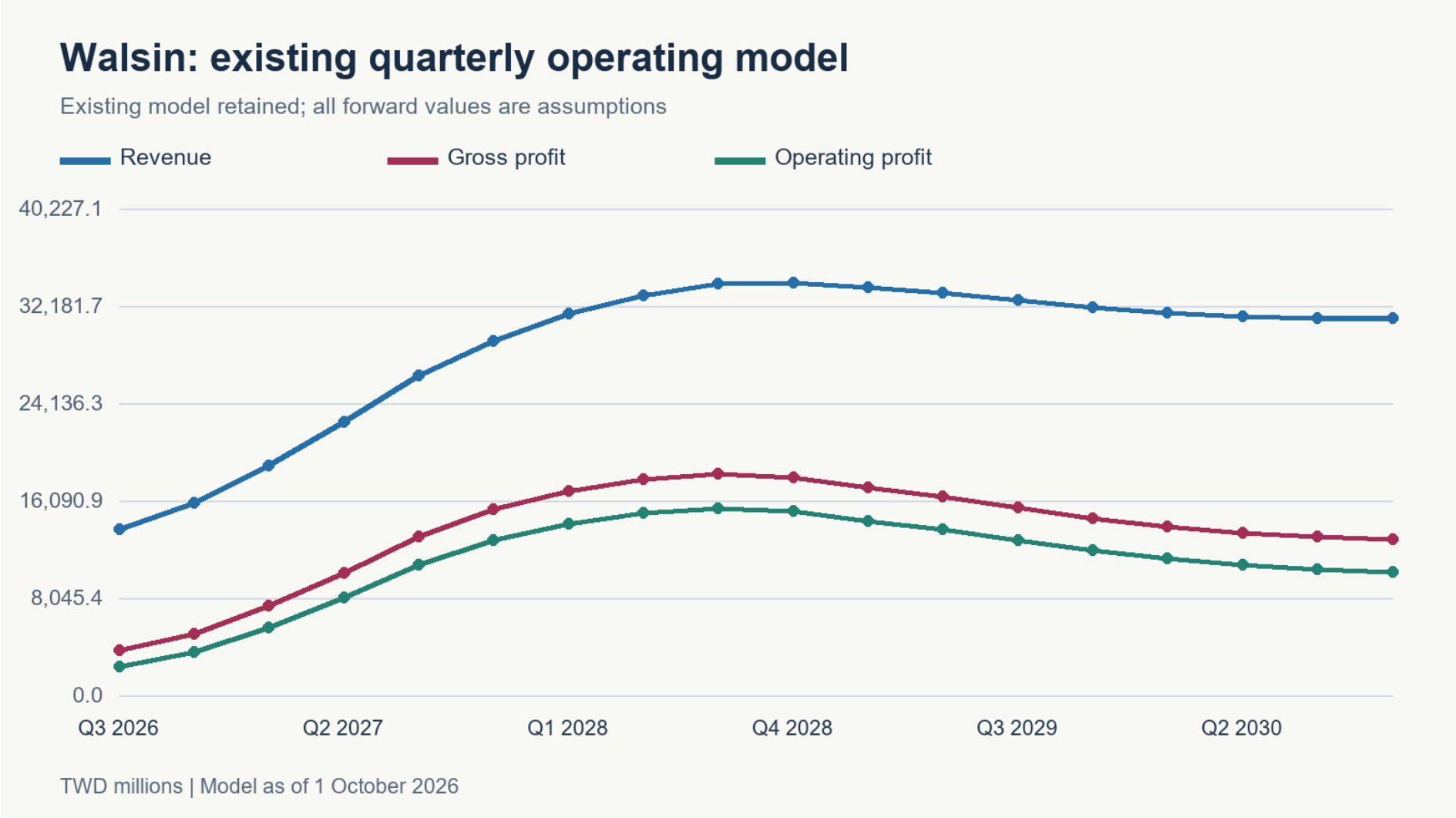
Quarter	AI ASP index	General ASP index	Volume index	Input cost index
Q3 2026	1.19	1.11	1.08	1.03
Q4 2026	1.39	1.21	1.13	1.06

Quarter	AI ASP index	General ASP index	Volume index	Input cost index
Q1 2027	1.67	1.36	1.18	1.09
Q2 2027	1.99	1.51	1.23	1.12
Q3 2027	2.31	1.66	1.28	1.15
Q4 2027	2.50	1.75	1.32	1.17
Q1 2028	2.59	1.81	1.36	1.19
Q2 2028	2.64	1.82	1.40	1.20
Q3 2028	2.62	1.81	1.44	1.21
Q4 2028	2.56	1.76	1.47	1.21

Calibration

Check	Model	Disclosed
Q2 2026 revenue / gross margin / operating margin	anchor, not modelled	11,310 / 20.29% / 10.27%
Five anchor line margins reproduce the blend	20.30%	20.29%
Q3 2026 revenue	13,738	July actual 4,444 plus modelled Aug and Sep, ~13,694
FY2026 revenue	50,568	FY2025 actual 36,465
Blended AI share, Q3 2026	17.0%	management target 15-20% for 2026

5. Quarterly operating model



Walsin: existing quarterly operating model. TWD millions. Existing model retained; all forward values are assumptions

Quarter	Revenue, TWD M	Gross profit, TWD M	Operating profit, TWD M
Q3 2026	13,738.362	3,698.252	2,345.024
Q4 2026	15,901.783	5,090.885	3,564.314

Quarter	Revenue, TWD M	Gross profit, TWD M	Operating profit, TWD M
Q1 2027	19,022.232	7,413.468	5,634.889
Q2 2027	22,560.406	10,126.700	8,069.191
Q3 2027	26,431.430	13,145.705	10,793.307
Q4 2027	29,287.246	15,348.065	12,794.217
Q1 2028	31,522.780	16,915.703	14,211.048
Q2 2028	33,050.878	17,887.822	15,091.718
Q3 2028	34,032.977	18,306.721	15,454.758
Q4 2028	34,090.798	18,036.912	15,200.558
Q1 2029	33,734.960	17,218.059	14,418.058
Q2 2029	33,297.540	16,450.301	13,686.605
Q3 2029	32,700.251	15,522.674	12,802.014
Q4 2029	32,057.857	14,660.054	11,980.018
Q1 2030	31,585.757	13,967.730	11,308.209
Q2 2030	31,293.405	13,455.152	10,801.472
Q3 2030	31,144.850	13,086.372	10,426.602
Q4 2030	31,148.798	12,870.095	10,191.298

The detailed retained model below also supplies margins, costs and driver assumptions.

Quarter	Status	Vol	Cost	ASP A	ASP B	Revenue	QoQ	Blended GM	Opex	OP	OP margin	Conf
Q3 2026	Part-actual	1.08	1.03	1.19	1.11	13,738	-	26.92%	1,353	2,345	17.07%	MEDIUM
Q4 2026	Model	1.13	1.06	1.39	1.21	15,902	+15.7%	32.01%	1,527	3,564	22.41%	LOW
Q1 2027	Model	1.18	1.09	1.67	1.36	19,022	+19.6%	38.97%	1,779	5,635	29.62%	LOW
Q2 2027	Model	1.23	1.12	1.99	1.51	22,560	+18.6%	44.89%	2,058	8,069	35.77%	LOW
Q3 2027	Model	1.28	1.15	2.31	1.66	26,431	+17.2%	49.74%	2,352	**10,793**	40.84%	LOW
Q4 2027	Model	1.32	1.17	2.50	1.75	29,287	+10.8%	52.41%	2,554	12,794	43.69%	LOW

Quarter	Status	Vol	Cost	ASP A	ASP B	Revenue	QoQ	Blended GM	Opex	OP	OP margin	Conf
Q1 2028	Model	1.36	1.19	2.59	1.81	31,523	+7.6%	53.66%	2,705	14,211	45.08%	LOW
Q2 2028	Model	1.40	1.20	2.64	1.82	33,051	+4.8%	54.12%	2,796	15,092	45.66%	LOW
Q3 2028	Model	1.44	1.21	2.62	1.81	34,033	+3.0%	53.79%	2,852	15,455	45.41%	LOW
Q4 2028	Model	1.47	1.21	2.56	1.76	34,091	+0.2%	52.91%	2,836	15,201	44.59%	LOW
Q1 2029	Model	1.50	1.22	2.47	1.69	33,735	-1.0%	51.04%	2,800	14,418	42.74%	LOW
Q2 2029	Model	1.53	1.22	2.38	1.63	33,298	-1.3%	49.40%	2,764	13,687	41.10%	LOW
Q3 2029	Model	1.56	1.22	2.29	1.56	32,700	-1.8%	47.47%	2,721	12,802	39.15%	LOW
Q4 2029	Model	1.58	1.22	2.20	1.51	32,058	-2.0%	45.73%	2,680	11,980	37.37%	LOW
Q1 2030	Model	1.60	1.22	2.14	1.46	31,586	-1.5%	44.22%	2,660	11,308	35.80%	LOW
Q2 2030	Model	1.62	1.22	2.09	1.43	31,293	-0.9%	43.00%	2,654	10,801	34.52%	LOW
Q3 2030	Model	1.64	1.22	2.05	1.40	31,145	-0.5%	42.02%	2,660	10,427	33.48%	LOW
Q4 2030	Model	1.66	1.22	2.03	1.38	31,149	+0.0%	41.32%	2,679	10,191	32.72%	LOW

Gross margin by line, all derived

Quarter	MLCC	Resistor	RF	Disc Capacitor	Inductor & Others	Blended
Q3 2026	26.1%	30.7%	28.7%	20.3%	23.6%	**26.92%**
Q4 2026	31.1%	36.0%	33.8%	24.9%	28.7%	**32.01%**
Q1 2027	38.0%	43.0%	40.9%	31.4%	35.7%	**38.97%**
Q2 2027	43.8%	49.0%	46.9%	36.8%	41.6%	**44.89%**
Q3 2027	48.6%	53.9%	51.8%	41.1%	46.5%	**49.74%**
Q4 2027	51.4%	56.5%	54.5%	43.2%	49.1%	**52.41%**
Q1 2028	52.6%	57.7%	55.8%	44.4%	50.5%	**53.66%**
Q2 2028	53.0%	58.2%	56.3%	44.3%	51.0%	**54.12%**
Q3 2028	52.7%	57.9%	55.9%	43.5%	50.7%	**53.79%**
Q4 2028	51.8%	57.1%	55.1%	41.9%	49.6%	**52.91%**
Q1 2029	49.9%	55.4%	53.4%	39.3%	47.6%	**51.04%**
Q2 2029	48.3%	53.9%	51.8%	37.1%	45.9%	**49.40%**
Q3 2029	46.3%	52.2%	50.0%	34.3%	43.8%	**47.47%**
Q4 2029	44.5%	50.6%	48.3%	32.1%	42.0%	**45.73%**
Q1 2030	43.0%	49.3%	46.9%	29.8%	40.1%	**44.22%**
Q2 2030	41.8%	48.1%	45.7%	28.3%	39.0%	**43.00%**
Q3 2030	40.8%	47.2%	44.8%	26.8%	37.8%	**42.02%**
Q4 2030	40.1%	46.6%	44.2%	25.7%	37.0%	**41.32%**

Calendar year	FY2027	FY2028	FY2029	FY2030
Revenue	97,301	132,697	131,791	125,173
Blended gross margin	47.31%	53.62%	48.45%	42.64%
Operating profit	37,292	59,958	52,887	42,728
Operating margin	38.33%	45.18%	40.13%	34.13%

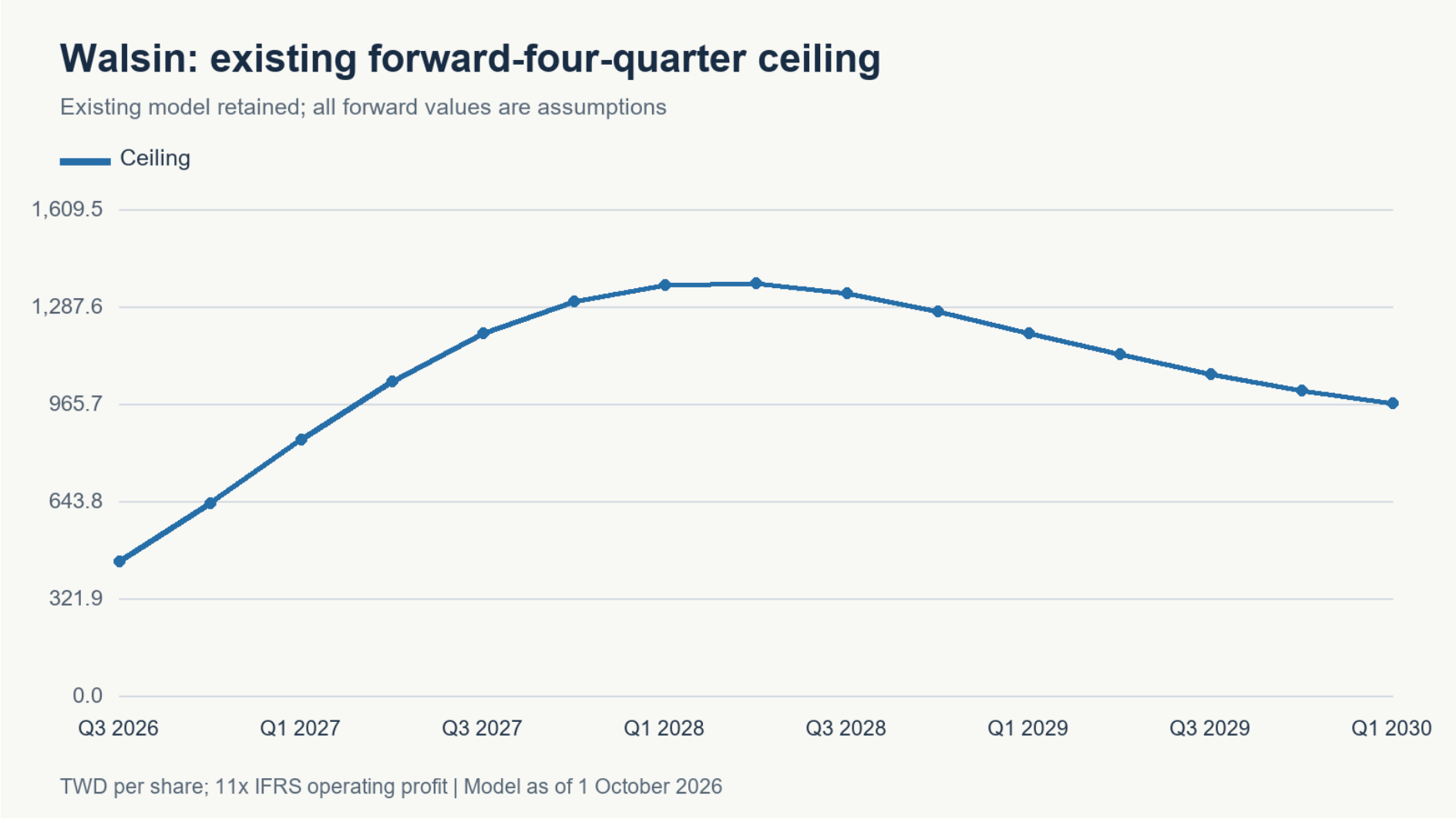
Shape. Revenue rolls over in Q4 2028 and then declines only 1-2% a quarter **while volume keeps rising throughout**. It is ASP unwinding, not demand vanishing, and that is the substantive difference from 2018, where revenue fell off a cliff because the demand itself disappeared. Terminal ASP stays at 2.03× and 1.38× rather than returning to 1.0, because the AI mix shift is permanent even after the shortage premium goes. Terminal blended gross margin is 41.32% against a 20.29% anchor.

Dilution. 485,204,774 shares issued, 2025 distribution was a cash dividend of TWD 2.5031 with no stock dividend, count held flat. Taiwanese stock dividends are the risk to that assumption and would dilute the whole ladder proportionally.

6. Rolling forward-4Q ceiling (AH-16)

Ceiling = [OP(Q) + OP(Q+1) + OP(Q+2) + OP(Q+3)] × 11 ÷ 485.2M shares

The multiple is 11×, anchored to what the market actually paid at the last peak. Walsin's 2018 peak price of roughly TWD 444.5 against FY2018 EPS of 40.75 is 10.9× the peak year; against the peak quarter annualised it is 5.9×. The market did not pay a rich multiple at the top, and the stock still fell about 60% and sat flat through 2019. Applying 11× to **operating** profit is stricter again, because roughly half of pre-tax profit is non-operating.



Walsin: existing forward-four-quarter ceiling. TWD per share; 11x IFRS operating profit. Existing model retained; all forward values are assumptions

Ceiling quarter	Window priced	Forward-4Q OP	Multiple	Diluted shares	Ceiling (TWD)	Key inflection
Q3 2026	Q3 2026 → Q2 2027	19,613	11×	485.2	444.66	Distribution price rises flow through in full; Liuchia starts

Ceiling quarter	Window priced	Forward-4Q OP	Multiple	Diluted shares	Ceiling (TWD)	Key inflection
Q4 2026	Q4 2026 → Q3 2027	28,062	11×	485.2	636.19	Direct-customer renegotiation - the largest untapped lever
Q1 2027	Q1 2027 → Q4 2027	37,292	11×	485.2	845.44	Full-quarter effect of direct-customer pricing
Q2 2027	Q2 2027 → Q1 2028	45,868	11×	485.2	1,039.87	2027 capacity expansion begins
Q3 2027	Q3 2027 → Q2 2028	52,890	11×	485.2	1,199.08	Pool A at 2.31× against sold-out alternatives
Q4 2027	Q4 2027 → Q3 2028	57,552	11×	485.2	**1,304.76**	**Active ranking quarter.** Blended gross margin above 50%
Q1 2028	Q1 2028 → Q4 2028	59,958	11×	485.2	1,359.31	AI share passes 30% of revenue
Q2 2028	Q2 2028 → Q1 2029	60,165	11×	485.2	1,364.01 ▲ PEAK	**Peak blended gross margin 54.12%**
Q3 2028	Q3 2028 → Q2 2029	58,760	11×	485.2	1,332.15	Peak operating profit; volume still rising
Q4 2028	Q4 2028 → Q3 2029	56,107	11×	485.2	1,272.01	Revenue plateaus; ASP unwinds while volume climbs
Q1 2029	Q1 2029 → Q4 2029	52,887	11×	485.2	1,199.00	Fade begins
Q2 2029	Q2 2029 → Q1 2030	49,777	11×	485.2	1,128.49	General-purpose pricing normalises first
Q3 2029	Q3 2029 → Q2 2030	46,892	11×	485.2	1,063.08	Mid-fade
Q4 2029	Q4 2029 → Q3 2030	44,516	11×	485.2	1,009.23	Approaching normalised

Ceiling quarter	Window priced	Forward-4Q OP	Multiple	Diluted shares	Ceiling (TWD)	Key inflection
Q1 2030	Q1 2030 → Q4 2030	42,728	11×	485.2	968.68	Terminus

AH-1 chain, active Q4 2027 ranking cell. The retained Q4 2027-Q3 2028 operating profits sum to TWD 57,551.740346M before display rounding. Ceiling = 57,551.740346 × 11 ÷ 485.2 = **TWD 1,304.759159**, displayed as **1,304.76**. This uses the same quarterly operating forecasts and denominator as the existing workbook.

The ladder peaks at Q2 2028 and declines afterward. That is deliberate: this is a dated squeeze, not a secular ramp.

Against Walsin's own 2018 actuals

	EPS (TWD)
FY2017	5.15
2018Q1	2.71
2018Q2	9.03
2018Q3 - peak quarter	**18.95**
2018Q4	10.06
FY2018	**40.75**
2019Q2 - trough	3.03
FY2019	13.72, -66%

The 2018 peak was **one quarter**, with flanking quarters at 48% and 53% of it, and the collapse ran 18.95 to 3.03 in three quarters. This model's peak quarterly earnings-equivalent is about 43, roughly **2.3× the 2018 peak quarter**, and it holds above that level for most of the ladder. That is the claim in one number.

7. Base score - 32/60 = 53%

Category	Score	Evidence
Core Thesis	8/20	Second globally in chip resistors at ~19%, fourth to fifth in MLCC at ~10%. Real share, no moat: no physics barrier, no patent barrier, no sole-source position, five comparable or larger competitors. Rule 9 test fails. 2018 showed the position is rentable in a squeeze and gives it all back after.
Cycle Stage	8/10	Early-to-mid. Operating margin 10.27% against 5.81% a year ago. Book-to-bill 1.3-1.4 with no observed overbooking. Distribution pricing done, direct-customer pricing still ahead, so the largest lever is untapped.
TAM Expansion	7/10	Passives are a genuine universal primitive across AI power, 1.6T switching, EV, robotics and edge. Capped below the top band because Walsin supplies an existing market rather than creating one.
Catalysts	4/5	Q3 2026 print late October, direct-customer renegotiation across Q3 and Q4, Liuchia entering operation, capex tripled. Held below 5 because none is a quantitative company forecast.
Macro	7/10	AI server power and 800G to 1.6T raise passive content per system; documented crowding-out into automotive and consumer; silver inflation driving industry-wide price action. Not higher because the same tailwind funds competing capacity and passives are violently cyclical.
Alpha	3/5	Under-covered in English. The mechanism, mix, utilisation, capex and pricing detail are Taiwanese-language disclosures. Not a 5 because Yageo is heavily covered and the read-across is available to anyone reading the same sources.
Risks	-5	Six classes, one point each, capped at -5. See section 8.
Base	**32/60 = 53%**	**Fail band.** A commodity passive maker riding a cyclical squeeze scores as one under this framework.

This is a derived Fail, not a dismissal, per the ARM discipline. The ceiling clears the price by a wide margin regardless. Base sizes positions; EV ranks them. The gap between a Fail-band Base and a high EV is exactly what the framework is built to express.

8. Key risks (each scored)

#	Risk	Detail and kill switch
1	**Pool B ASP is the load-bearing assumption**	General-purpose ASP peaking at 1.82× rests on a price-sensitive buyer with a redesign option. That buyer is what ended 2018, and Pool B is roughly two thirds of revenue at the peak. **Kill switch:** any quarter where revenue grows and blended gross margin does not.
2	**Not a chokepoint**	Five comparable or larger competitors in both product lines. **Kill switch:** a competitor announcing general-purpose MLCC capacity that closes the crowding-out gap.
3	**Violent cyclicality**	2018 ran 18.95 to 3.03 in three quarters and FY2019 fell 66%. The ladder is built to turn over at Q2 2028 for this reason. **Kill switch:** book-to-bill below 1.0 for two consecutive months.
4	**Half the pre-tax profit is non-operating**	Pre-tax 20.12% against operating 10.27%. Equity-method income, investment valuation gains, interest and dividends are outside this ceiling; they have distinct exposures. **Kill switch:** operating margin failing to expand for two consecutive quarters while revenue grows.
5	**Price-increase execution**	Distribution is done; **direct customers, the larger pool, have not been renegotiated. Kill switch:** the Q3 or Q4 print showing no ASP-driven margin step.
6	**Capacity race**	Walsin tripled capex and every competitor is expanding. General-purpose capacity is the cheap kind to add. **Kill switch:** industry capacity announcements pulling the landing date earlier than 2028.

9. Cross-book

Name	Read-through
Yageo (2327.TW), not held	Sector leader and the cleaner expression of the same squeeze. Q1 2026 gross margin 38.10% against Walsin's 20.29%, an 18-point structural gap from tantalum, KEMET and the number-one chip resistor position. Its monthly prints lead Walsin's and its price actions set the industry pattern.
Murata, Samsung Electro-Mechanics, Taiyo Yuden	The first two are the primary AI-server MLCC beneficiaries and therefore the **source** of the crowding-out. Taiyo Yuden is the closest analogue to this thesis: large general-purpose share, less AI-server share.
BE, VICR, NVDA and the AI power stack	Passive content per server rises with rack power. Same DB4 electron chain.
CRDO, AAOI, LITE, COHR	The 800G to 1.6T transition raises RF and filter specifications, which is Walsin's RF line. Indirect and small.
8147.TWO, 6451.TW, 3363.TWO	Same Taiwanese component tier and the same multiple question.

10. Open rulings

#	Ruling required	Impact
1	**Pool B ASP at 1.82× peak.** The AI-exposed pool at 2.64× is defensible on zero elasticity against sold-out alternatives. The general-purpose pool is where the 2018 failure mode lives, and it is roughly two thirds of revenue at the peak	Pool B at 1.5× instead cuts the prior Q3 2027 reference cell roughly a quarter
2	**Base 53 in the Fail band.** Core Thesis at 8/20 is the swing factor; a case exists for 10-11 on the second-place chip-resistor position	Core Thesis at 11 gives 35/60 = 58, still Fail
3	**Revenue magnitude.** FY2028 revenue of 132,697 is 3.6× FY2025 actual and close to the entire current market value in one year of sales. It is the arithmetic consequence of the ASP path, not a separate assumption	Falls directly out of ruling 1
4	**Share count held flat.** Cash dividend only in 2025, but Taiwanese stock dividends are common	A 5% stock dividend cuts every rung 4.8%
5	**Price staleness.** The workbook carries TWD 273.50 from the 2026-08-08 refresh against 294.00 quoted 2026-08-17	Ceiling unaffected; upside and rank move

11. Re-rate triggers

#	Trigger	Test	If passed	If failed
1	**Q3 2026 print, late October 2026**	Revenue near 13,700 AND blended gross margin stepping toward 27%	The ASP mechanism is working; hold the model	Cut the Pool B path immediately
2	**Direct-customer renegotiation, Q3-Q4 2026**	Company confirmation that direct pricing has moved, and by how much	Calibrates Pool B directly against a disclosed number	Risk 5 binds and the model loses its main driver
3	**Monthly revenue prints**	Holding above TWD 4,400M with YoY above 30%	Volume and ASP both working	Squeeze narrower than modelled
4	**Book-to-bill**	At or above 1.3	Order-driven visibility intact	Risk 3 escalates immediately
5	**Competitor capacity**	Murata, Samsung EM, Yageo or TDK adding general-purpose MLCC capacity	-	The crowding-out mechanism closes and the thesis dates
6	**Yageo's prints**	Yageo gross margin extending above 38.10%	Confirms sector-wide pricing power ahead of Walsin's own print	Sector pricing is narrower than the headlines
7	**Counter-trigger**	Channel restocking or evidence of overbooking emerging	-	Immediate Base and ceiling review

Built 2026-08-16 from Walsin Technology's Q2 2026 consolidated financial statements (TWSE filing 2026-07-31), July 2026 monthly revenue (2026-08-10), the Q1 and Q2 2026 investor presentations, Walsin's own TWSE-filed 2017-2019 quarterly EPS series, and Taiwanese-language trade reporting on capacity, utilisation, capex and pricing (AH-13 Level 1-3). Multiple anchored to the 2018 peak price against FY2018 earnings per Tom's ruling. All tables generated programmatically from 2492_TW_Q_Model in the live workbook. Original build snapshot was used for this historical model; current workbook: v3_2_master_portfolio.xlsx, tab 2492_TW_Q_Model.

12. Evidence source supplement

W-E1: Walsin H1 2026 English consolidated financial report, issuer translation supplement, review report dated July 31, 2026; collected October 1, 2026. PDF pages 2-3: qualified interim review scope; page 6: Q2/H1 income statement; page 7: parent attribution and EPS. The financial anchors, five-line forecast, 11x operating-profit methodology and Base 53 remain unchanged.

October1 evidence disposition

The scope limitation is a verified fact (100% inclusion in the evidence record). It is not evidence that the stated unreviewed balances are losses. No specific revenue or cost misstatement is identified, so the incremental operating-loss input is0; the existing risk score and11x operating-profit method remain. Further review findings could create a separately weighted error/loss bridge.